Q1 FY27 assumptions

Driver	Downside	Base	Upside	Unit	Why (source and reasoning)
Organic growth: Fabric & Home Care	(0.25%)	0.75%	1.75%	%	Average of the last 4 quarters (0%, 0%, 3%, 0%)
Organic growth: Baby, Feminine & Family Care	(1.75%)	(0.75%)	0.25%	%	Average of the last 4 quarters (0%, -4%, 3%, -2%); most volatile segment
Organic growth: Beauty	3.50%	4.50%	5.50%	%	Last-4-quarter average 5.25%, trimmed 0.75 pt: tough comparison (+6% last Q1) and Q4 slowed to 4% with Skin Care flat on China volume (Q4 FY26 release)
Organic growth: Health Care	0.25%	1.25%	2.25%	%	Average of the last 4 quarters (1%, 3%, 2%, -1%)
Organic growth: Grooming	(0.50%)	0.50%	1.50%	%	Last-4-quarter average 1.0%, trimmed 0.5 pt: tough comparison (+3% last Q1) and flat Q4 with volume declines in IMEA (Q4 FY26 release)
Corporate sales growth	0.00%	0.00%	0.00%	%	Small and noisy; held flat
FX impact on sales	(0.71%)	0.29%	1.29%	%	Dollar index (FRED DTWEXBGS) averaged 119.57 in Jul to Sep 2026 vs 120.24 a year earlier (0.55% weaker) × 52% of sales outside the US (FY26 10-K) = +0.3%. Approximation: the index's currency weights differ from P&G's
Core gross margin change vs. last year (bp)	(230)	(180)	(130)	bp	Sum of the gross margin walk (rows 23 to 28)
Core SG&A % change vs. last year (bp)	80	50	20	bp	Q4 FY26 rose 130 bp on marketing; assume reinvestment continues at a smaller scale
Extra net interest expense ($M)	47	47	47	$M	Guided $150M after-tax headwind each, converted to pretax, split over 4 quarters
Lower other non-operating income ($M)	47	47	47	$M	Guided $150M after-tax headwind each, converted to pretax, split over 4 quarters
Core tax rate	20.0%	20.0%	20.0%	%	FY27 guidance: about 20%
Minority interests ($M)	31	31	31	$M	Q1 FY26 actual
Starting diluted shares (M)	2,412.7	2,412.7	2,412.7	M shares	Q4 FY26 diluted shares
Buybacks in the quarter ($M)	1,250	1,250	1,250	$M	FY27 guidance: about $5B of buybacks, a quarter of it per quarter
Average share price, Jul to Sep 2026 ($)	$146.54	$146.54	$146.54	$	Average daily close Jul 1 to Sep 30, 2026 (64 trading days), Yahoo Finance historical prices
Shares added by stock comp (M)	0.0	0.0	0.0	M shares	Assumed 0: stock comp adds few shares and moves EPS by under 1 cent
Gross margin walk (bp), adds up into row 11					
Productivity savings (+)	160	160	160	bp	FY26 quarters ran +140 to +210 bp
Pricing (+)	10	10	10	bp	Last 4 quarters averaged +40 bp (50, 50, 50, 10), but Q4 fell to +10 bp, price added 0% to Q4 sales amid merchandising investments, and FY27 guidance named no new price increases (Q4 FY26 release). Carry Q4's +10 bp forward
Commodities and tariffs (-)	(210)	(160)	(110)	bp	FY27 guidance: ~$1B after-tax headwind from raw materials, energy and transportation, about -140 bp for the year. Q1 set at -160 bp, in line with management's comment that Q1 core EPS could fall 5% or more
Mix (-)	(120)	(120)	(120)	bp	FY26 quarters ran -100 to -180 bp
Product reinvestment (-)	(70)	(70)	(70)	bp	FY26 quarters ran -60 to -100 bp
FX and other (+/-)	0	0	0	bp	FY27 guidance: $50M after-tax FX headwind for the year, about half a cent of EPS per quarter; held at 0 as immaterial

Downside / Upside: organic growth ±1 pt, commodities ±50 bp, SG&A ±30 bp, FX ±1 pt. Symmetric ranges for simplicity.

Q1 FY27 forecast (Jul to Sep 2026), $ millions except per share

	Downside	Base	Upside
Fabric & Home Care	7,718	7,874	8,030
Baby, Feminine & Family Care	5,044	5,147	5,251
Beauty	4,259	4,341	4,424
Health Care	3,205	3,270	3,334
Grooming	1,795	1,831	1,868
Corporate	242	242	242
Total net sales	**22,262**	**22,705**	**23,148**
Growth vs. last year	(0.6%)	1.4%	3.4%
Organic growth (weighted)	0.2%	1.2%	2.2%
Core gross margin %	49.2%	49.7%	50.2%
Core gross profit	10,961	11,293	11,629
Core SG&A %	25.7%	25.4%	25.1%
Core SG&A	5,713	5,759	5,802
Core operating income	**5,248**	**5,534**	**5,827**
Core operating margin	23.6%	24.4%	25.2%
Interest expense	(244)	(244)	(244)
Interest income	108	108	108
Other non-operating income	228	228	228
Core earnings before tax	5,340	5,626	5,919
Core income taxes	1,068	1,125	1,184
Minority interests	31	31	31
Core net earnings to P&G	**4,241**	**4,470**	**4,704**
Shares repurchased (M)	8.5	8.5	8.5
Diluted shares (M)	2,404.2	2,404.2	2,404.2
Core EPS	**$1.76**	**$1.86**	**$1.96**
EPS growth vs. last year	(11.4%)	(6.6%)	(1.7%)
vs. management (down 5% or more)	Consistent	Consistent	Above
vs. consensus EPS of $1.89	-$0.13	-$0.03	+$0.07
vs. consensus sales of $22,800M	-538	-95	+348